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China Home Appliance

Weak June AVC print, noisy subsidy base, resilient leaders

What's new?

According to AVC (All View Cloud) data, China home appliances (H/A) retail sales fell 19% YoY in Jun (Table 1), deteriorating from -9% in May despite an easier comp. Two-year stack was also weak at -4%, versus +20%/+1% in May/Apr. For 2Q26, retail sales fell 15% YoY, versus -10% in 1Q, while two-year stack growth improved to +5% from -1%. In other words, Jun exit momentum was poor, but the quarterly picture is more mixed—and these growth metrics are (very) noisy given the uneven base from the trade-in subsidy cycle.

The investor debate is therefore not about the exact growth rate, but what Jun really signals: a weather/base/timing blip, or more persistent post-subsidy demand weakness? We lean toward a cyclical interpretation, with weakness amplified by fading subsidy impact and poor consumption sentiment, rather than a structural demand break. Anyway, our constructive case on Midea/Haier (both OWs) does not rely on a China H/A upcycle, but on their B2B and overseas growth opportunities. Midea remains our top pick; see our recent in-depth [report](#) for details.

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Table 1: AVC home appliance retail sales, volume and ASP growth

Weighted average of online and offline retail sales growth (weights: 50/50 offline/online, except 10/90 offline/online for vacuum)

	YoY growth						Two-Year Stack		
	Apr-25	May-25	Jun-25 ...	Apr-26	May-26	Jun-26	Apr-26	May-26	Jun-26
Total retail sales	20%	33%	19%	-16%	-9%	-19%	1%	21%	-4%
Offline	19%	37%	26%	-14%	-11%	-22%	2%	21%	-2%
Online	22%	29%	12%	-18%	-7%	-16%	0%	20%	-6%
Total retail sales	20%	33%	19%	-16%	-9%	-19%	1%	21%	-4%
AC	22%	42%	30%	-24%	-14%	-28%	-8%	23%	-6%
Refrigerator	9%	17%	2%	-3%	-6%	-11%	5%	10%	-10%
Washing machine	14%	30%	15%	-3%	-4%	-17%	10%	25%	-4%
Kitchen/Water	21%	31%	15%	-12%	-6%	-13%	7%	24%	0%
Vacuum	71%	36%	27%	-24%	-8%	13%	29%	25%	43%
Volume	17%	29%	21%	-14%	-4%	-15%	1%	24%	2%
AC	23%	42%	33%	-22%	-5%	-25%	-4%	35%	0%
Refrigerator	5%	12%	3%	-4%	-5%	-6%	0%	6%	-3%
Washing machine	2%	22%	15%	2%	4%	-12%	4%	28%	2%
Kitchen/Water	13%	18%	11%	-13%	-5%	-11%	-1%	12%	-1%
Vacuum	60%	40%	35%	-25%	-7%	7%	21%	31%	45%
ASP	3%	3%	-2%	-2%	-6%	-4%	1%	-3%	-6%
AC	-1%	0%	-3%	-3%	-9%	-3%	-4%	-9%	-6%
Refrigerator	4%	4%	-1%	1%	-1%	-5%	5%	3%	-7%
Washing machine	12%	6%	0%	-6%	-8%	-6%	5%	-3%	-5%
Kitchen/Water	6%	11%	3%	1%	-1%	-2%	7%	10%	1%
Vacuum	7%	-3%	-6%	1%	-1%	5%	7%	-4%	-1%

Source: AVC

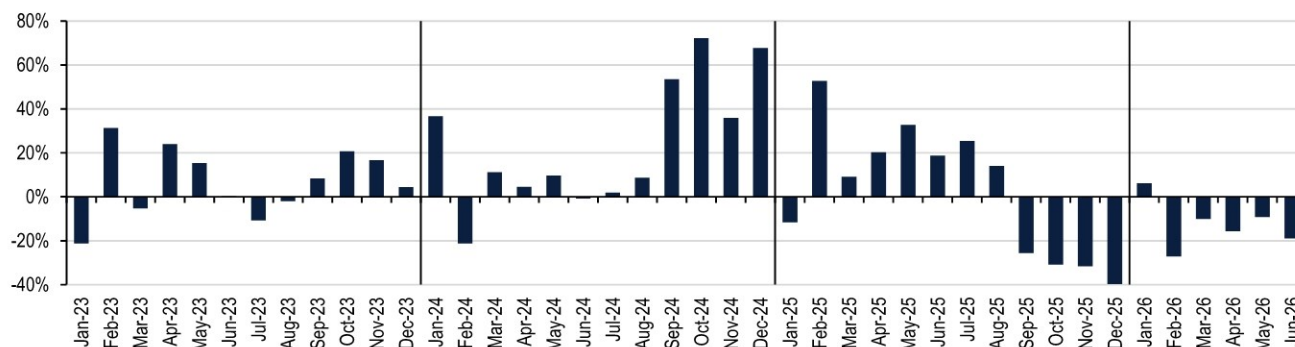
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Demand pictures in details

- Overall demand:** AVC data show Jun 2026 H/A retail sales declined 19% YoY, deteriorating from -9% YoY in May despite an easier comp base. Two-year stack growth also weakened to -4%, versus +20% in May and +1% in Apr. Jun exit momentum was clearly weak, but we would not over-read one noisy month given the uneven base from the trade-in subsidy cycle.
- By channel:** The slowdown was broad-based across both online and offline. Jun online sales declined 16% vs. -7% in May (or -6% vs. +20% in May, on a two-year stack), while offline sales declined 22% vs. -11% in May (or -2% vs. +21% in May on a two-year stack). This suggests the weakness was not purely channel-specific, though online appears more exposed to fading subsidy impact and price-sensitive demand.
- By category:** AC was the biggest drag, given it is the single largest Jun category, accounting for >40% of Jun sales over the past five years. AC sales declined 28% YoY, a 14ppt deterioration from -14% in May, and were down 6% on a two-year stack basis, a 30ppt deceleration from +23% in May. Cooler/rainier weather didn't help, but weakness was not just a weather story: refrigerators, washing machines and kitchen appliances also saw 5-10ppt/20-30ppt deteriorations in YoY/two-year stack growth. Vacuum was the clear outlier with 13% YoY growth, accelerating from -8% in May, and 43% two-year stack growth, accelerating from 27% in May, mostly volume driven.
- By volume/pricing:** This is the messiest part of the data — YoY says volume was the problem, but the base is not clean. AC sales volume declined 25% YoY, a 20ppt deterioration from May, while ASP declined 3% YoY, improving from -9% YoY in May. Refrigerator and washing machine sales volume declined 6-12% YoY, a ~10ppt deterioration from May, while ASP declined 5-6% YoY, similar to May. Taken literally, this looks like volume-led weakness; but given last year's subsidy-rush demand, we think that overstates the underlying demand deterioration. On a two-year stack basis, white goods sales volume was broadly flattish, moving up/down within the LSD range, while ASP was down MHSD. So the cleaner conclusion is: units are normalizing after subsidy pull-forward, not collapsing, but consumers are still trading down / buying cheaper mix across both online and offline channels. Vacuum was the exception, with sales volume up 7% YoY, a 14ppt improvement from May, and ASP up 5% YoY, a 6ppt improvement.

Figure 1: China home appliance - AVC retail sales YoY%

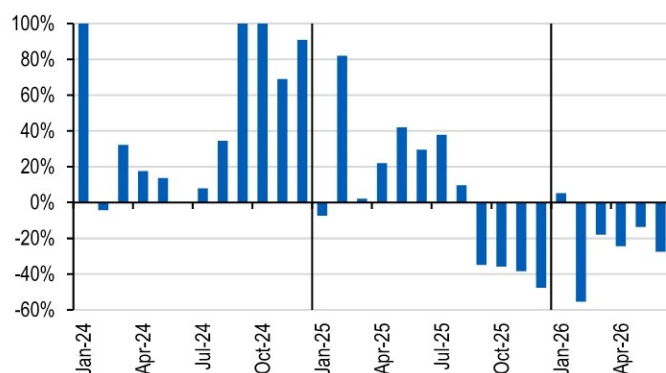
Average of online and offline retail sales YoY%



Source: AVC

Figure 2: Air con - retail sales YoY%

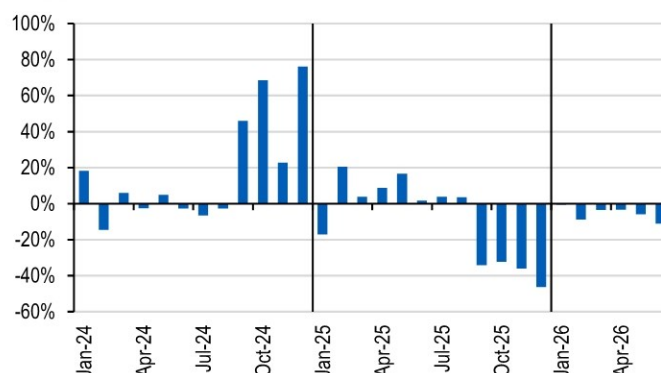
Average of online and offline retail sales YoY%



Source: AVC

Figure 3: Refrigerator - retail sales YoY%

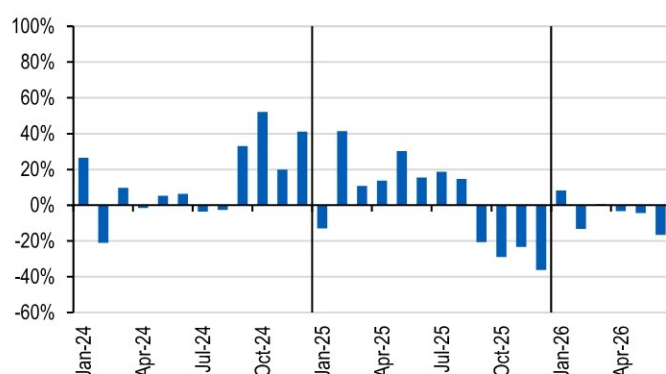
Average of online and offline retail sales YoY%



Source: AVC

Figure 4: Washing machine- retail sales YoY%

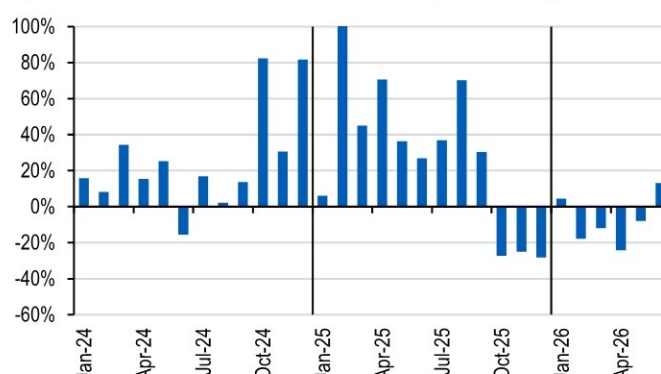
Average of online and offline retail sales YoY%



Source: AVC

Figure 5: Vacuum - retail sales YoY%

Weighted average of online and offline retail sales YoY%, with online carrying a 90% weight. Includes the vacuum, robotic vacuum and wet dry vacuum categories



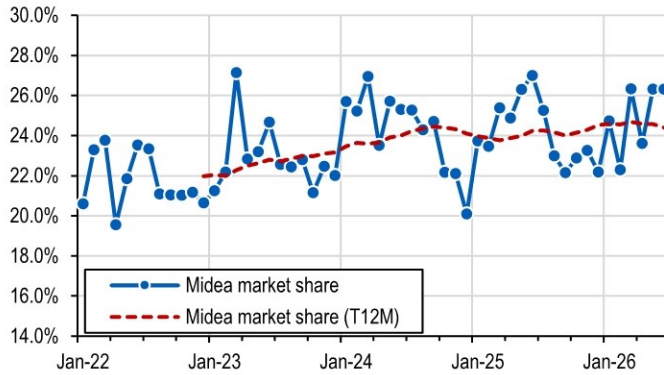
Source: AVC

Market share trends (online and offline combined)

- Total H/A industry:** Despite weak industry demand in Jun, share trends were not uniformly negative. Midea's market share improved to 26.3%, from 25.2% in 5M26, mainly due to seasonal strength in AC, where it remains the clear leader. Haier's total market share declined to 23.7%, from 24.3% in 5M26, but this was mainly a mix thing (i.e., heavy skew toward AC in June); category-level data show broad-based share gains for Haier across most segments.
- AC:** Midea's market share improved to 34.9%, from 33.2% in 5M26, retaining the No.1 position. Gree ranked No.2, though share declined to 25.4%, from 29.7% in 5M26. Haier's share increased to 14.3%, from 13% in 5M26, while Xiaomi's share rose to 6.9%, from 5.4% in 5M26, helped by the 6.18 online promotion period.
- Refrigerators:** Haier's market share increased to 43.7%, from 40% in 5M26, mainly due to share gains in online channels. Midea's market share declined to 20.4%, versus 21.5% in 5M26.
- Washing machines:** Haier's market share remained stable at 39.2%, versus 39.2% in 5M26, while Midea's share improved to 35.0%, from 34.5% in 5M26, mainly driven by gains in offline channels.
- Vacuum:** Ecovacs' market share increased to 31.0%, from 29.1% in 5M26, broadly in line with its usual seasonal strength.

Figure 6: Midea - market share by retail value

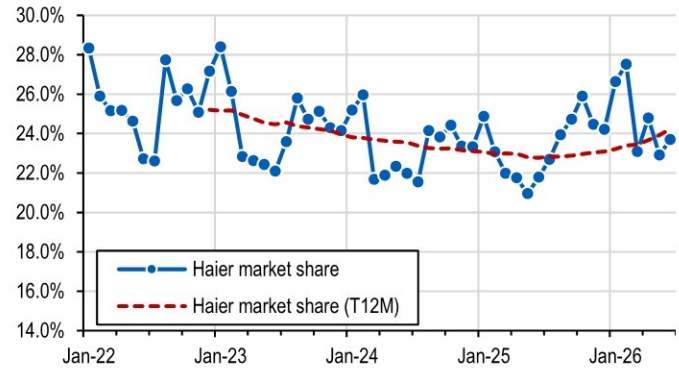
Average online and offline market share in all categories (air con, refrigerator, washing machine, kitchen/water appliances and vacuum)



Source: AVC

Figure 7: Haier - market share by retail value

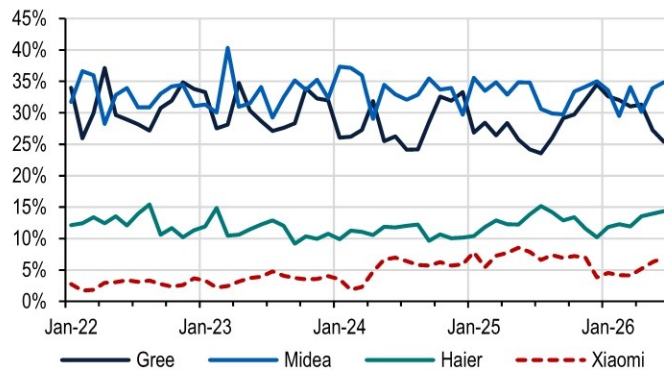
Average online and offline market share in all categories (air con, refrigerator, washing machine, kitchen/water appliances and vacuum)



Source: AVC

Figure 8: Midea, Haier, Gree and Xiaomi - air con market share by retail value

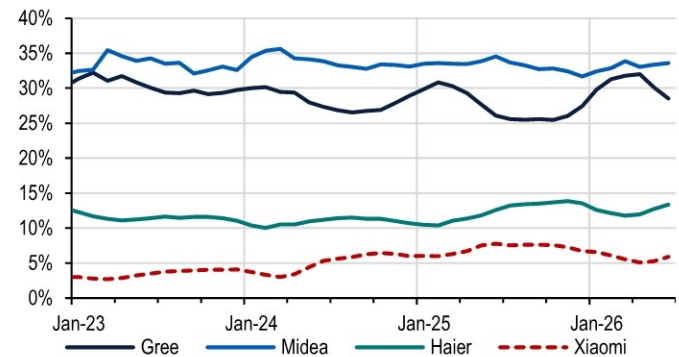
Average online and offline market share



Source: AVC

Figure 9: Midea, Haier, Gree and Xiaomi - air con market share by retail value (trailing 6 month)

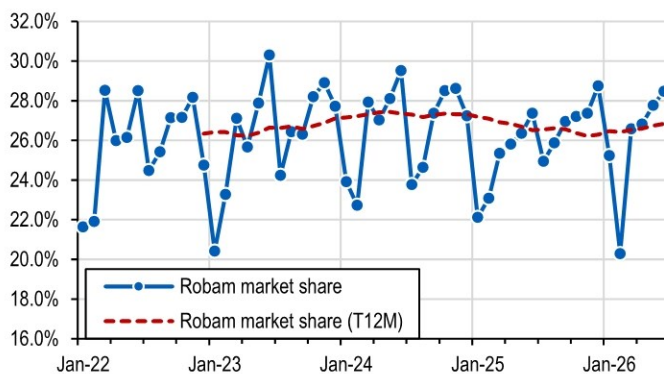
Average online and offline market share



Source: AVC

Figure 10: Robam - kitchen appliance market share by retail value

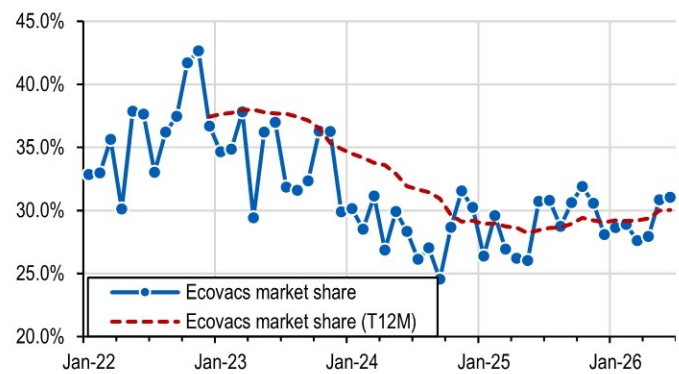
Average online and offline market share in range hood and gas stove categories



Source: AVC

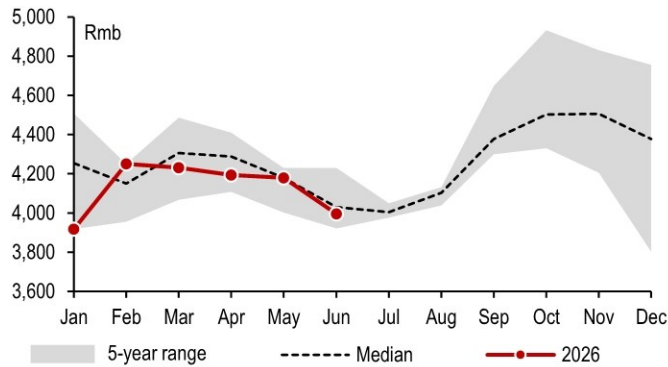
Figure 11: Ecovacs - vacuum market share by retail value

Weighted average online (90% weights) and offline (10% weights) market share in vacuum, robotic vacuum and wet dry vacuum categories



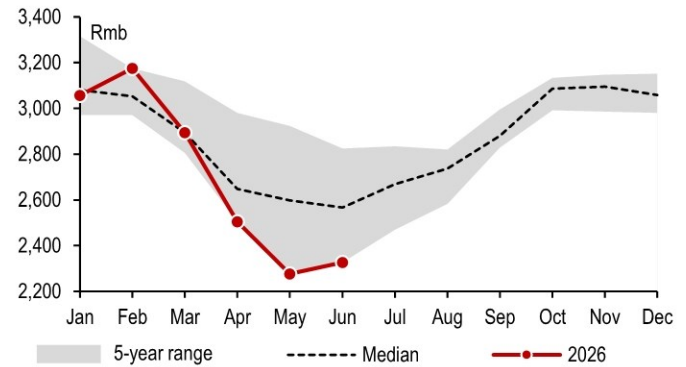
Source: AVC

Figure 12: Air con - offline retail ASP trend



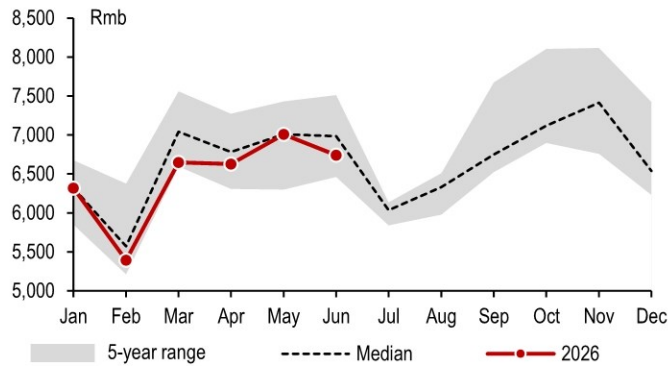
Source: AVC

Figure 13: Air con - online retail ASP trend



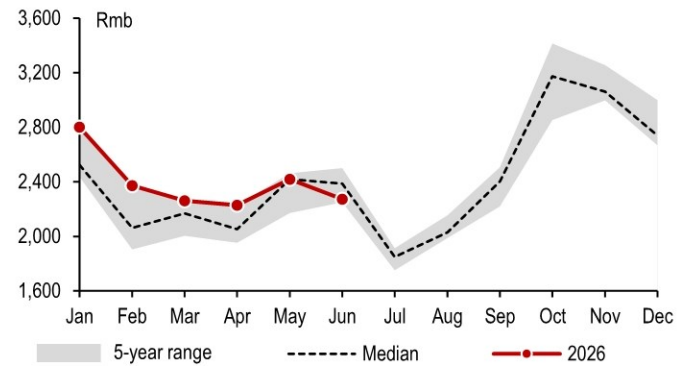
Source: AVC

Figure 14: Refrigerator - offline retail ASP trend



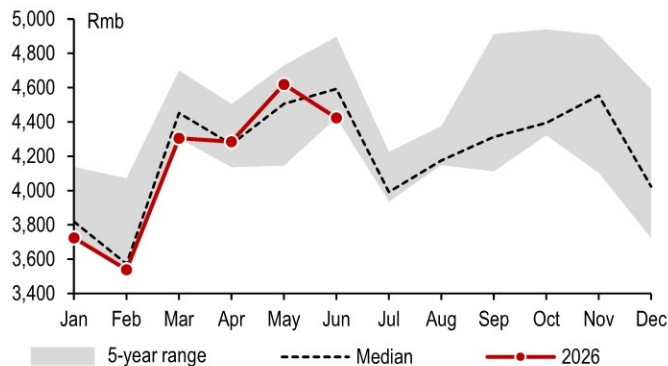
Source: AVC

Figure 15: Refrigerator - online retail ASP trend



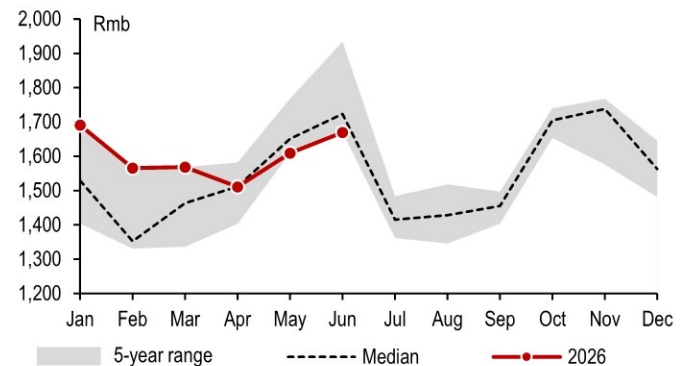
Source: AVC

Figure 16: Washing machine - offline retail ASP trend



Source: AVC

Figure 17: Washing machine - online retail ASP trend



Source: AVC

Table 2: AVC retail sales and ASP YoY - air con, refrigerator, and washing machine

	Air-Con						Refrigerator						Washing machine				
	Offline		Online				Offline		Online				Offline		Online		
	Sales	ASP	Sales	ASP			Sales	ASP	Sales	ASP			Sales	ASP	Sales	ASP	
Jan-24	50%	-2%	55%	-6%		21%	12%	16%	11%		39%	11%	14%	8%			
Feb-24	-68%	-4%	59%	0%		-43%	11%	14%	7%		-43%	12%	1%	-1%			
Mar-24	-21%	-3%	85%	-4%		1%	2%	11%	6%		5%	0%	15%	-6%			
Apr-24	-13%	1%	48%	-9%		-13%	4%	8%	1%		-9%	-1%	6%	-7%			
May-24	-1%	2%	29%	-8%		10%	9%	0%	-2%		14%	8%	-3%	-6%			
Jun-24	-14%	-2%	14%	-8%		5%	8%	11%	-3%		9%	3%	4%	11%			
Jul-24	-7%	-1%	23%	-9%		-13%	2%	0%	-1%		-11%	0%	4%	-5%			
Aug-24	13%	0%	56%	-7%		-3%	5%	-2%	-7%		-7%	0%	2%	-6%			
Sep-24	71%	5%	46%	1%		47%	14%	45%	7%		39%	19%	27%	2%			
Oct-24	114%	9%	95%	5%		86%	14%	51%	15%		79%	14%	25%	4%			
Nov-24	79%	7%	59%	5%		56%	7%	11%	-1%		46%	8%	-6%	11%			
Dec-24	101%	8%	81%	3%		137%	12%	15%	-1%		69%	13%	13%	-5%			
Jan-25	5%	-4%	20%	4%		-16%	-1%	18%	-9%		-15%	-2%	10%	-9%			
Feb-25	41%	1%	23%	-3%		45%	14%	-3%	-4%		68%	14%	15%	-1%			
Mar-25	0%	4%	4%	-1%		19%	5%	11%	-1%		21%	6%	1%	10%			
Apr-25	12%	2%	32%	-1%		17%	3%	1%	0%		16%	6%	11%	13%			
May-25	39%	1%	45%	0%		29%	4%	4%	-3%		28%	5%	32%	8%			
Jun-25	39%	-3%	20%	-5%		11%	0%	-8%	-7%		16%	3%	15%	-1%			
Jul-25	38%	-1%	38%	7%		16%	1%	-8%	-7%		16%	6%	22%	3%			
Aug-25	11%	1%	8%	5%		16%	0%	-9%	2%		20%	5%	9%	6%			
Sep-25	-42%	-8%	28%	1%		-36%	-12%	33%	1%		-29%	-12%	12%	5%			
Oct-25	-49%	-12%	23%	-1%		-43%	-12%	22%	1%		-39%	-10%	19%	0%			
Nov-25	-52%	-13%	25%	1%		-49%	-17%	23%	7%		-40%	-16%	-6%	9%			
Dec-25	-54%	-20%	41%	-4%		-56%	-16%	37%	10%		-51%	-19%	22%	11%			
Jan-26	19%	-8%	-8%	-1%		3%	-4%	-4%	14%		10%	-8%	7%	20%			
Feb-26	-54%	2%	-56%	7%		-13%	-15%	-5%	15%		-21%	-13%	-5%	18%			
Mar-26	-2%	-6%	34%	3%		-8%	-12%	1%	4%		-7%	-8%	8%	7%			
Apr-26	-17%	-5%	32%	-5%		-9%	-9%	3%	9%		-6%	-5%	0%	-4%			
May-26	-16%	-1%	11%	-12%		-8%	-6%	-3%	3%		-8%	-2%	-1%	-9%			
Jun-26	-29%	-1%	27%	-4%		-19%	-10%	-4%	1%		-19%	-10%	-14%	-2%			

Source: AVC

Table 3: Valuation comp table - China home appliance sector

Company	Ticker	J.P. Morgan		Price (local)	MktCap (\$ B)	Share perf		P/E (x)			EV/Sales (x)			ROE	Sales growth (p.a.)				Margins ('26E)		% of sales ('25A)		
		Rating	PT			YTD	12M	'26E	'27E	'28E	'26E	'27E	'28E		'22-25	'26E	'27E	'28E	GPM	NPM	R&D	S&M	G&A
Midea - A	000333 CH	OW	105.0	80.4	90.0	3%	11%	13.2	12.2	11.3	1.3	1.2	1.1	21%	10%	5%	6%	7%	26%	10%	4%	9%	4%
Haier - A	600690 CH	OW	25.0	20.3	26.5	(22%)	(20%)	9.3	8.6	8.0	0.6	0.5	0.5	17%	7%	4%	4%	4%	26%	6%	3%	11%	8%
Haier - H	6690 HK	OW	25.0	19.9	26.5	(18%)	(17%)	7.9	7.3	6.8	0.6	0.6	0.5	17%	7%	4%	4%	4%	26%	6%	3%	11%	8%
Gree - A	000651 CH	N	42.0	38.7	32.0	(4%)	(18%)	7.4	7.6	7.5	1.2	1.2	1.2	20%	(3%)	2%	(2%)	(0%)	29%	17%	4%	5%	3%
Supor - A	002032 CH	OW	55.0	42.7	5.0	(3%)	(18%)	15.5	14.8	14.2	1.4	1.4	1.3	35%	4%	3%	3%	3%	25%	9%	2%	11%	2%
Robam - A	002508 CH	N	17.0	15.1	2.1	(22%)	(21%)	10.3	10.4	9.7	1.4	1.3	1.3	12%	(1%)	3%	0%	3%	50%	13%	4%	29%	5%
Ecovacs - A	603486 CH	UW	47.0	50.9	4.3	(37%)	(13%)	16.7	15.2	14.2	1.3	1.2	1.0	18%	8%	16%	6%	6%	48%	8%	5%	31%	3%

Source: Bloomberg Finance L.P. (prices as of 13 Jul 2026), J.P. Morgan estimates.

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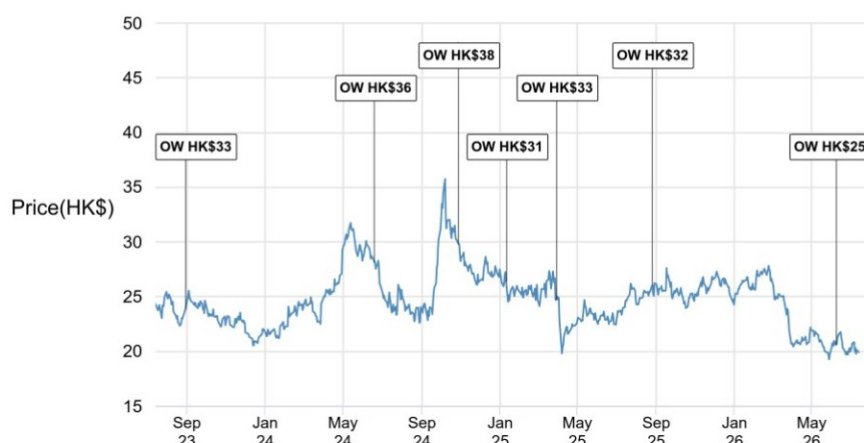
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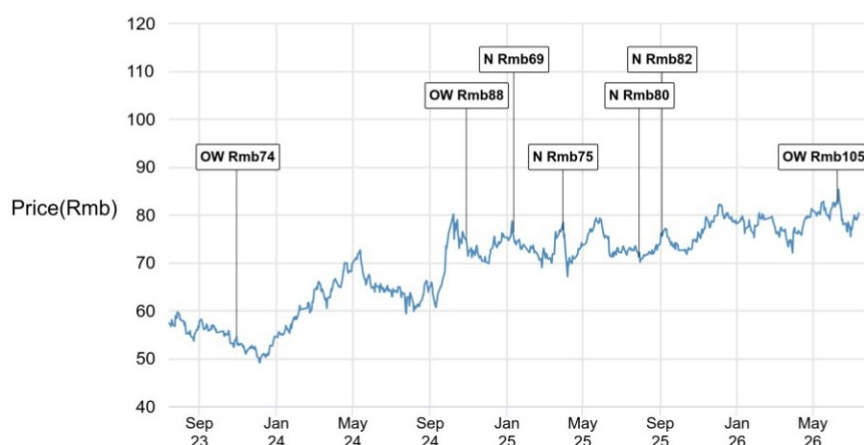
Haier Smart Home Co Ltd - H (6690.HK, 6690 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
31-Aug-23	OW	23.90	33
20-Jun-24	OW	28.15	36
29-Oct-24	OW	29.80	38
12-Jan-25	OW	26.35	31
30-Mar-25	OW	24.70	33
26-Aug-25	OW	25.98	32
09-Jun-26	OW	20.60	25

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 07, 2021. All share prices are as of market close on the previous business day.

Midea Group - A (000333.SZ, 000333 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
31-Oct-23	OW	54.50	74
29-Oct-24	OW	74.87	88
12-Jan-25	N	76.37	69
31-Mar-25	N	76.87	75
30-Jul-25	N	71.24	80
04-Sep-25	N	75.62	82
09-Jun-26	OW	82.85	105

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 08, 2015. All share prices are as of market close on the previous business day.

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